

from time to time, especially if the securities purchased have an apparently excessive advance and can be replaced by issues much more reasonably priced. Alas! there will be capital-gains taxes to pay—which for the typical investor seems to be about the same as the Devil to pay. Our old ally, experience, tells us here that it is better to sell and pay the tax than not sell and repent.

TABLE 14-6 Development of Prices and Price/Earnings Ratios for Various Standard & Poor's Averages,

Year	<i>Industrials</i>		<i>Railroads</i>		<i>Utilities</i>	
	Price ^a	P/E Ratio	Price ^a	P/E Ratio	Price ^a	P/E Ratio
1948	15.34	6.56	15.27	4.55	16.77	10.03
1953	24.84	9.56	22.60	5.42	24.03	14.00
1958	58.65	19.88	34.23	12.45	43.13	18.59
1963	79.25	18.18	40.65	12.78	66.42	20.44
1968	113.02	17.80	54.15	14.21	69.69	15.87
1970	100.00	17.84	34.40	12.83	61.75	13.16

^a Prices are at the close of the year.

Investing in Stocks of Financial Enterprises

A considerable variety of concerns may be ranged under the rubric of “financial companies.” These would include banks, insurance companies, savings and loan associations, credit and small-loan companies, mortgage companies, and “investment companies” (e.g., mutual funds).^{*} It is characteristic of all these enterprises that they have a relatively small part of their assets in the form of material things—such as fixed assets and merchandise inventories—but on the other hand most categories have short-term obligations well in excess of their stock capital. The question of financial soundness is, therefore, more relevant here than in the case of the typical manufacturing or commercial enterprise. This, in turn, has given rise to various forms of regulation and supervision, with the design and general result of assuring against unsound financial practices.

Broadly speaking, the shares of financial concerns have produced investment results similar to those of other types of common shares. Table